

Behavioral Public Policy in Labor Markets

Behavioral Labor – Week 9

Teaching deck draft

Central question

- How do behavioral frictions change the design, implementation, targeting, equilibrium effects, and welfare analysis of labor-market policies?
- The policy object is not only generosity or tax rates.
- Workers respond to perceived incentives, program complexity, defaults, trust, deadlines, and learning environments.
- The labor object stays central: earnings, claiming, search, training, saving, and work incentives.

Bridge from Weeks 1–7

Earlier weeks	Week 9 policy task
Preferences	design around present bias, commitment, inertia, and follow-through
Beliefs	correct mistaken returns, eligibility, and schedule perceptions
Attention	make incentives and rules salient at the relevant decision moment
Complexity	treat forms, interfaces, and burden as economic margins
Firms and norms	study delivery through employers, counselors, and local environments
Methods	match policy channels to identification and welfare tools

Week 9 turns the course toolkit into a behavioral labor-policy framework.

Six roles of behavioral frictions

Role	Policy question
Bias to correct	what misunderstanding, inattention, or self-control wedge blocks welfare-improving action?
Lever to harness	can defaults, reminders, commitment, or framing improve outcomes?
Implementation friction	is take-up limited by hassle, stigma, trust, or procedural complexity?
Dynamic learning margin	do workers learn schedules, rules, or procedures over time?
Equilibrium modifier	how do employers, preparers, counselors, and peers mediate response?
Welfare complication	which choices are distorted, and whose benchmark matters?

Standard policy versus behavioral policy

$$p = (\tau, n, s, d)$$

Component	Interpretation
τ	taxes, subsidies, benefit rates, budget-set parameters
n	information, salience, notices, rule communication
s	simplification, administrative burden, claiming support
d	defaults, commitment, active-choice architecture

Standard policy often emphasizes τ . Behavioral labor policy asks which component of p workers actually perceive and can act on.

Worker choice under behavioral policy

$$a_i(p) \in \arg \max_{a \in \mathcal{A}} \tilde{U}_i(a; p, b_i) - K_i(a; p)$$

- $a_i(p)$: hours, earnings, search, training, claiming, saving, or work after disability.
- b_i : beliefs, attention, sophistication, perceived eligibility, trust, or local knowledge.
- $K_i(a; p)$: procedural, cognitive, time, stigma, or coordination costs.
- Policy can move objective incentives, perceived incentives, action costs, defaults, or learning.

Biases as targets of correction

- EITC response may be weak because workers do not know the phase-in, plateau, or phaseout.
- Social Security or disability rules may be misperceived, so claiming and work incentives are misunderstood.
- Training after displacement may be delayed because costs are immediate and returns are uncertain.
- Corrective design asks: what would workers choose with better information, lower hassle, or less distortion?
- Empirical anchors: EITC knowledge, tax-benefit learning, Social Security information.

Biases as tools and levers

- Defaults can turn inertia into retirement saving.
- Active choice can force attention without choosing for the worker.
- Reminders can shift deadline attention and follow-through.
- Commitment devices can help when short-run costs block long-run investments.
- Large behavior change is not automatically large welfare gain.

$$D_i(p) = \mathbf{1}\left\{\tilde{V}_i(p; b_i) - C_i(p) \geq 0\right\}$$

- Take-up is a labor-policy margin, not a clerical detail.
- Low participation can reflect low awareness, misunderstood eligibility, stigma, distrust, or paperwork.
- Policy can change $D_i(p)$ through salience, simplification, reminders, assistance, and timing.
- The main outcome may be claiming or completion, not hours or earnings.

Administrative burden as economics

Policy setting	Behavioral margin	Outcome object
Tax credits	eligibility and schedule knowledge	filing, claiming, earnings response
UI	search rules and deadlines	applications, hazards, reemployment
Training	enrollment and completion burden	take-up, credits, credentials
Retirement	defaults and payroll menus	participation, contribution rates
Disability	earnings rules and perceived risk	claiming, work, exits

$$b_{i,t+1} = B(b_{it}, m_{it}, x_{i,t+1}, p_t)$$

- Workers learn schedules, rules, claiming procedures, and returns over time.
- Information acquisition can be endogenous to stakes, deadlines, peers, and intermediaries.
- Short-run effects may understate long-run learning or overstate temporary salience.
- Dynamic designs need panels, event studies, distributed lags, or repeated exposure measures.

$$\frac{da_i}{dp} = \frac{\partial a_i}{\partial \tau} \frac{d\tau}{dp} + \frac{\partial a_i}{\partial n} \frac{dn}{dp} + \frac{\partial a_i}{\partial s} \frac{ds}{dp} + \frac{\partial a_i}{\partial d} \frac{dd}{dp}$$

- The decomposition is a teaching device, not a literal universal derivative.
- It keeps incentives, salience, simplification, and defaults on the same page.
- Good empirical design tries to isolate or diagnose the active channel.

Firms, intermediaries, and equilibrium

- Employers set payroll menus, retirement defaults, training supports, and communication.
- Tax preparers translate tax-credit schedules and deadlines.
- Counselors and caseworkers shape UI, training, disability, and claiming behavior.
- Peers and neighborhoods diffuse knowledge, norms, and partial information.
- Equilibrium response can change incidence, pass-through, and scalability.

$$W(p) = \int \Psi_i(a_i(p), a_i^*(p), p) dF(i)$$

- Revealed preference is harder to use when choices may be distorted.
- $a_i^*(p)$ could mean full-information choice, low-hassle choice, sophisticated choice, or model benchmark.
- Paternalism is a risk if real preferences are misclassified as mistakes.
- Targeting can prioritize high mistakes, high gains, low capacity, or equity concerns.

Methods bridge

Policy channel	Common methods	Key diagnostic
Information, reminders	field experiments, ANCOVA	baseline knowledge and heterogeneity
Take-up, claiming	extensive-margin effects, hazards	timing and application completion
Learning	panels, event studies, lags	persistence versus temporary salience
Defaults, menus	treatment comparisons, bunching, calibration	passive choice and welfare benchmark
Peer or local knowledge	local interactions, spillover designs	diffusion and interference
Welfare, targeting	sufficient statistics, structural models	benchmark action and distribution

- Separate information, salience, procedural knowledge, trust, and confidence.
- Study persistence, decay, repeated exposure, and endogenous information acquisition.
- Treat digital administration as a behavioral environment, not neutral plumbing.
- Build intermediaries and firm response into policy design.
- Make welfare criteria explicit when choices may be distorted.

- Reproduce: synthetic take-up and reminder design anchored on Bhargava–Manoli.
- Diagnose: targeted friction, correction versus harnessing, main margin, welfare benchmark, intermediary response.
- Transfer: EITC knowledge and local labor-supply response anchored on Chetty–Friedman–Saez.
- Challenge: defaults and welfare, or dynamic tax-benefit learning.

- Week 8 made firms, platforms, markets, and institutions strategic actors.
- Week 9 asks how policy should be designed once those responses are present.
- Implementation tools may change incidence when employers and intermediaries adapt.
- Welfare requires both distorted-choice benchmarks and equilibrium incidence.

- Behavioral labor policy is broader than nudges.
- Incentives, information, simplification, defaults, and learning are joint design objects.
- Implementation and take-up are economic margins.
- Intermediaries can amplify, mute, or redirect policy effects.
- Welfare analysis requires an explicit benchmark for distorted choice.